

# FLYING INTO TURBULENCE

The recent industrial action faced by Indian carriers speaks volumes about the intensely competitive dynamics of Indian aviation **BY MANISH PANT**

► **INDIA'S LOW-COST CARRIER (LCC)** segment seems to have hit an air pocket. This phase started with reports of large-scale cancellations of several IndiGo flights due to a large number of the company's cabin crew taking leave to ostensibly appear for Air India interviews.

While the reason may sound plausible, it is not accurate. It is believed that a sizeable chunk of the crew had called in sick as part of a go-slow action to demand a roll-back of pay cuts announced at the onset of the pandemic. Its impact was so profound that on July 2 and 3, 55 and 29 per cent of the carrier's flights, respectively, were delayed. The airline had faced similar action by pilots earlier. The airline partially rolled back their pay cuts earlier this month. But its labour troubles aren't over yet.

Recently, its aircraft maintenance technicians (AMTs)

in New Delhi and Hyderabad went on sick leave to protest against inadequate pay. Taking a cue from their counterparts at IndiGo, several AMTs at Go First, too, did the same.

What is wrong with the LCC segment? Shakti Lumba, former head of operations at IndiGo, attributes it to the cultural shift in India's aviation landscape with the advent of LCCs. "Since the new entrants were scared of trade unionism, they ended up building contracts that emphasise the obligations of the employees towards the employer and not the other way round."

Aviation experts feel the LCCs are unable to manage expectations of different work groups. "These actions are driven by discontent and distortion. The discontent is driven by salary expectations and partial restoration of salaries and allowances. Those are driven by a

**AVIATION EXPERTS FEEL THE INDIAN LCCs ARE FACING A CHALLENGE IN MANAGING EXPECTATIONS OF DIFFERENT WORK GROUPS**

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## AIR INDIA

2020-21 ▼ -6,147.14  
2021-22 ▼ -6,346.40

## INDIGO

2020-21 ▼ -5,806.43  
2021-22 ▼ -6,161.85

## SPICEJET

2020-21 ▼ -936.57  
2021-22 ▼ -1,029.89

## ALLIANCE AIR AVIATION

2020-21 ▼ -235.2  
2021-22 ▼ -360.09

Net loss in ₹ crore; Source ACE Equity



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